Consignment Settlement

A Microsoft Dynamics 365 Business Central AL extension · illustrated walkthrough

The business problem

A store sells brands on consignment: the brand owns the stock until it sells. Every month the store has to pay each brand for what sold, minus the store's commission, which often gets cheaper for the brand as sales grow (tiers). Done from a sales export in a spreadsheet, it is easy to pay a sale twice, miss a return, or have the same person calculate and approve the payout. This extension does the settlement inside Business Central from posted sales and posts the payout as a normal purchase invoice.

Standard Business Central vs. this extension

Standard Business Central 28.5	Added by the extension
Item Vendor No. only	Agreement per brand: item list, dates, one active agreement per item
No consignment commission	Progressive commission tiers, breakdown per tier on the statement
What to pay is worked out by hand	Settlement from Value Entries (sales and credit memos) per month
Nothing stops paying a sale twice	Value entry numbers kept on settlement lines and never reused; vendor invoice no. = settlement no.
Late returns are easy to miss	They land in the next month's settlement; posted months are never reopened
Approval workflows exist but aren't tied to a payout	Calculated by ≠ approved by, enforced by permissions and a check
Manual purchase invoice	Payout posted from the settlement with the brand's BRAND dimension
Month end is manual	Job Queue creates the draft settlements for last month

How it was built and tested

Platform	Business Central 28.5 on-premises (US), CRONUS USA demo company, work date 1/27/2028, Windows Server 2022 VM
Code	AL (runtime 17.0), compiled with CodeCop, UICop and PerTenantExtensionCop: 0 errors, 0 warnings
Automated tests	39 tests in the AL Test Tool, all passing (tier maths, agreement rules, calculation, workflow, posting, permissions, job)
Real users	receiver1 (standard purchasing sets + CNS CLERK) and manager1 (same + CNS APPROVER). Steps 2–6 and 8 were done and photographed signed in as these users, not as an admin

The demo on the next pages

Agreement with two tiers → December crosses the tier → clerk calculates → clerk can't approve → approver approves and posts → BRAND on vendor and G/L entries → statement → Job Queue creates January → late return lands in January

Demo data (synthetic, created by the extension): brand *Luna Leather Co.* (vendor CNS-LUNA) sells a handbag in black and tan and a wallet; brand *Saffron Silk House* sells scarves. All sales go to "Store Cash Customer". December 2027 and January 2028; a tan handbag sold on 12/18 is returned on 1/20.

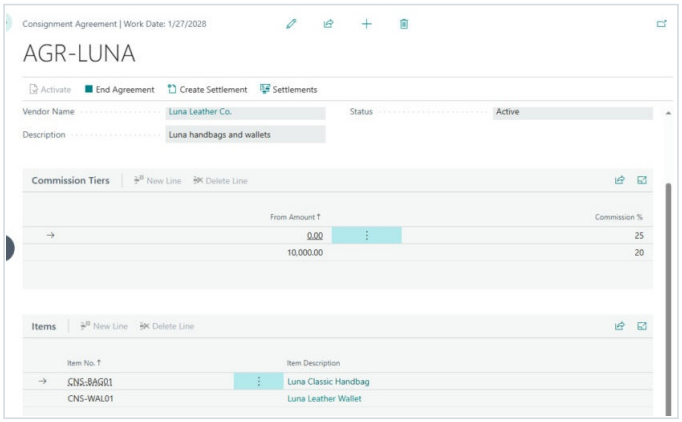
The demo, part 1: agreement and the clerk (receiver1)

1

The agreement.

admin / any user

AGR-LUNA, active from 11/1/2027. Tiers: **25%** on the first 10,000, **20%** above. Two items (all variants). Activation checked: a tier starting at 0, rates 0–100, at least one item, no item in another active agreement. Tiers and items are locked once active.

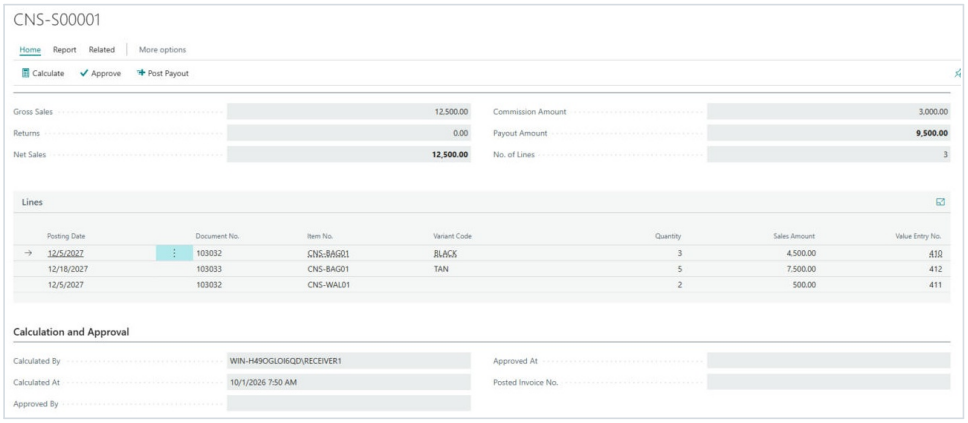


2

December crosses the tier; the clerk calculates.

signed in as receiver1

Settlement CNS-S00001 (draft, created by "Create Drafts for Last Month"). **Calculate** reads the value entries for the two items: 12,500.00 net. Commission 10,000 × 25% + 2,500 × 20% = **3,000.00**, payout **9,500.00**. Each line keeps its Value Entry No.



3

The clerk can't approve.

signed in as receiver1

Own settlement: refused by the extension's check (calculated by = approver). Someone else's settlement (CNS-S00002, calculated by admin): refused by the **server**, because CNS CLERK has no insert right on the approval log, even indirectly.





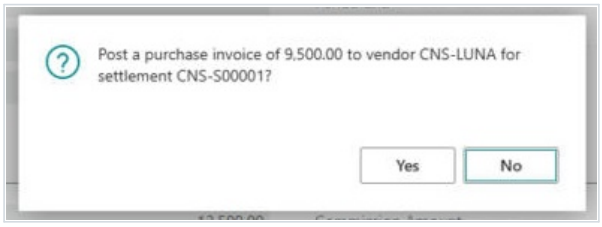
The demo, part 2: the approver (manager1)

4

Approve, then post the payout.

signed in as manager1

Approve is logged; **Post Payout** creates and posts a purchase invoice to CNS-LUNA on the period end date (12/31/2027) to payout account 54100, vendor invoice no. = CNS-S00001. Invoice, settlement status and log are one transaction.





Entry No.	Settlement No.	Action	User ID	Date-Time	Payout Amount
30	CNS-S00001	Approved	WIN-H49OGLOI6Q...	10/1/2026 7:55 AM	9,500.00
31	CNS-S00001	Posted	WIN-H49OGLOI6Q...	10/1/2026 7:55 AM	9,500.00

5

BRAND dimension on the ledger entries.

signed in as manager1

BRAND is a standard default dimension on the vendor; posting with Validate picks it up. G/L entries on 54100 and the payables account, and the vendor ledger entry, all carry BRAND = LUNA.

Posting Date	Document Type	Document No.	G/L Account No.	Description	Amount ($)	Entry No.	AREA	BRAND
12/31/2027	Invoice	108043	54100	Invoice 1002	9,500.00	2112		LUNA
12/31/2027	Invoice	108043	22400	Invoice 1002	-9,500.00	2113		LUNA

Vendor Ledger Entry 2113 - Dimension Set Entries

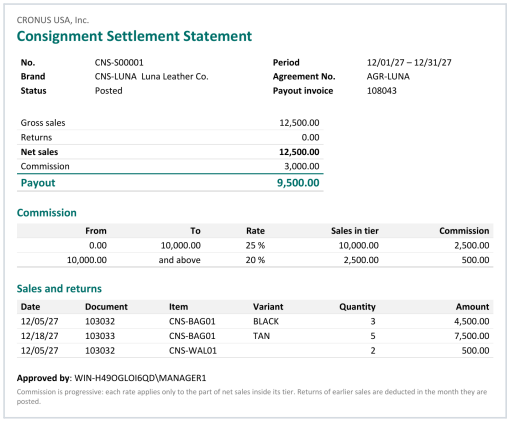
Dimension Code	Dimension Value Code	Dimension Value Name
BRAND	LUNA	Luna Leather Co.

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Settlement statement (Word layout).

signed in as manager1

Totals, commission per tier and every sale, with the approver and the payout invoice. One settlement per document.



CRONUS USA, Inc.

Consignment Settlement Statement

No.	CNS-S00001	**Period**	12/01/27 – 12/31/27
Brand	CNS-LUNA Luna Leather Co.	**Agreement No.**	AGR-LUNA
Status	Posted	**Payout invoice**	108043

Gross sales	12,500.00
Returns	0.00
Net sales	**12,500.00**
Commission	3,000.00
Payout	**9,500.00**

Commission

From	To	Rate	Sales in tier	Commission
0.00	10,000.00	25 %	10,000.00	2,500.00
10,000.00	and above	20 %	2,500.00	500.00

Sales and returns

Date	Document	Item	Variant	Quantity	Amount
12/05/27	103032	CNS-BAG01	BLACK	3	4,500.00
12/18/27	103033	CNS-BAG01	TAN	5	7,500.00
12/05/27	103032	CNS-WAL01		2	500.00

Approved by: WIN-H49OGLOI6QD\MANAGER1

Commission is progressive: each rate applies only to the part of net sales inside its tier. Returns of earlier sales are deducted in the month they are posted.

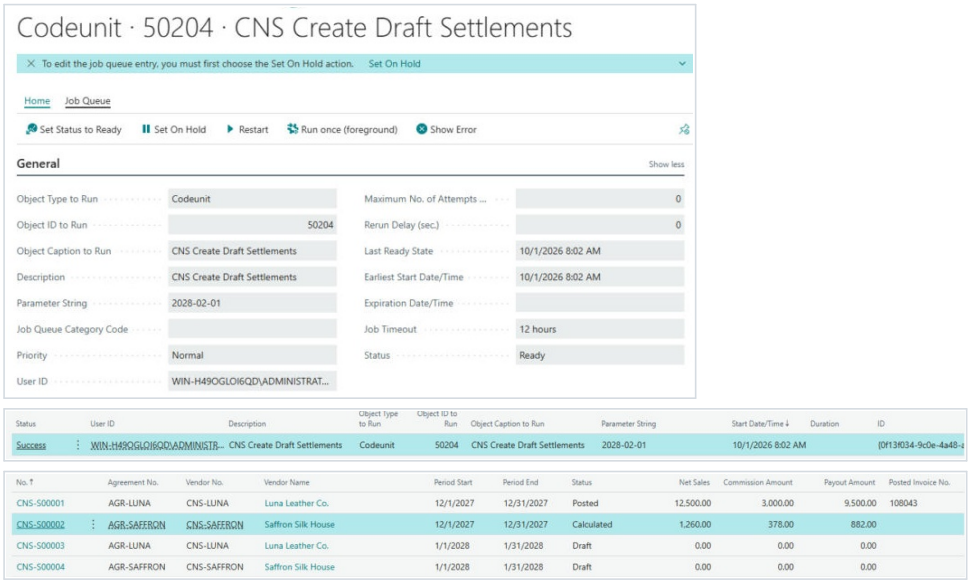
The demo, part 3: month end and a late return

7

The Job Queue creates January's drafts.

admin / any user

Job Queue Entry for codeunit 50204 with Parameter String 2028-02-01 (background sessions use today's date, CRONUS data is in 2028). The task scheduler ran it: one Draft per active agreement for January, CNS-S00003 and CNS-S00004. Running it again creates nothing.

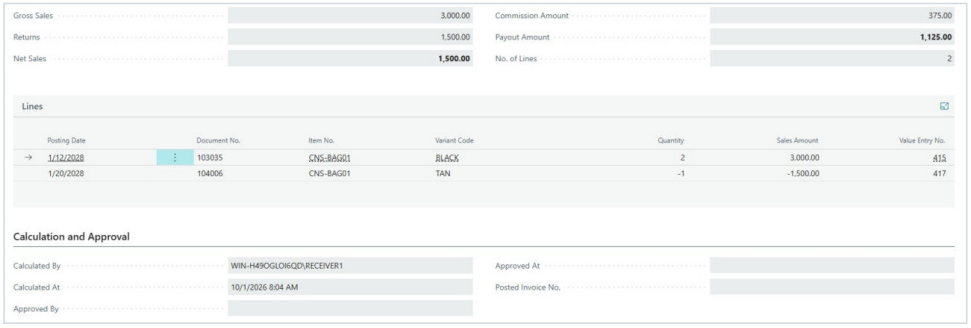


8

The late return lands in January.

signed in as receiver1

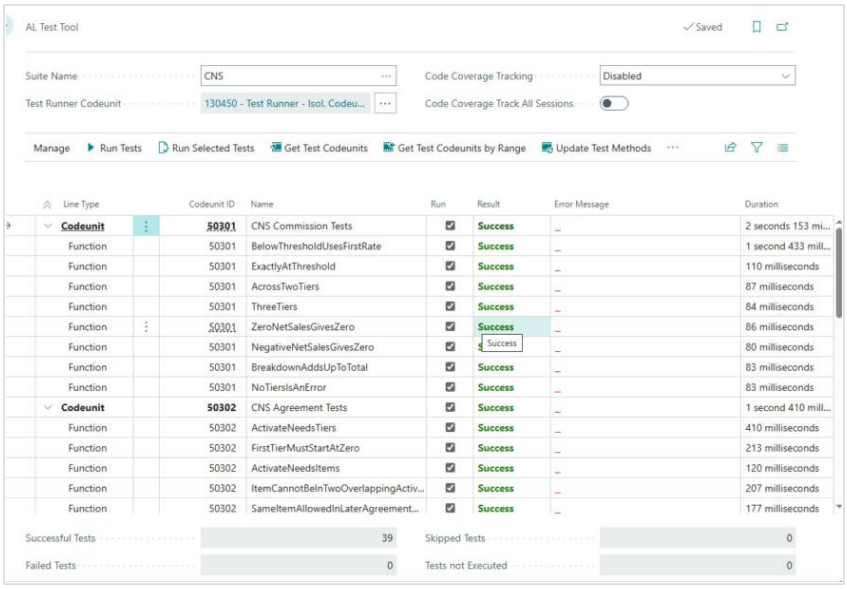
The tan handbag sold on 12/18 (paid in December) came back on 1/20. January: gross 3,000.00, returns **1,500.00**, net 1,500.00, commission 375.00, payout **1,125.00**. December stays Posted at 9,500.00.



Evidence and limitations

Automated tests: 39 of 39 passing

AL Test Tool (page 130451) on the deployed build. Tier maths (8), agreement rules (8), calculation incl. no double counting (7), workflow and posting incl. amount and dimension (8), permissions with Permissions Mock (4), the monthly job (4). The first run found a real gap: MinValue/MaxValue on the commission rate don't stop code from saving 101%; fixed with a check.



What is in the extension

Tables	Setup, Agreement, Commission Tier, Agreement Item, Settlement Header and Line, Approval Entry, Tier Breakdown (temporary)
Pages	Setup, Agreement list/card with tier and item subpages, Settlement list/card with lines, Approval Entries, Create Settlement dialog
Codeunits	Agreement Mgt, Settlement Calc, Settlement Mgt, Settlement Post, Create Draft Settlements (Job Queue), Install, Demo Data
Permission sets	CNS CLERK and CNS APPROVER; settlement tables writable only through the codeunits (indirect permissions)
Report	CNS Settlement Statement (Word layout)
Tests	Separate test app: helper library + 6 test codeunits

Known limitations

- Local currency only, monthly periods, one store; settlements per agreement must be calculated in order.
- A negative payout (returns bigger than sales) is not posted; it needs a manual purchase credit memo to the brand.
- Gross vs commission-only revenue recognition is a finance policy question; the extension only posts the payout.
- All variants of an item are in the agreement (excluding one is a small change, rehearsed separately).